



EQUITY RESEARCH / INITIATION NOTE

NOTE

Consumer Staples · India · NSE: HINDUNILVR

Independent Valuation Project

Author Build · Manual Three-Statement & DCF Model

Hindustan Unilever Limited

— Equity Research & Discounted Cash Flow Valuation

Strategy-driven financial forecasting and intrinsic valuation of India's largest FMCG franchise
— built from raw filings, peer – derived bottom-up beta, and a fully linked five-year FCF model.

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Mature franchise, selective re-acceleration.

BULL CASE

- + Brand moat across 50+ household labels with category leadership in 90% of revenue.
- + Premiumisation in Beauty & Wellbeing supports gross-margin expansion.
- + Quick-commerce and Shikhar app accelerate channel reach beyond traditional GT.
- + Asset-light model sustains a high return on capital across cycles.

KEY RISKS

- Palm oil and crude-linked input cost inflation compresses gross margin.
- Rising competitive intensity from regional and D2C challengers in personal care.
- Volume recovery dependent on sustained rural demand; two consecutive years of sub-3% USG highlight sensitivity to macro softness.
- Sensitivity to discount-rate assumptions on a low-beta, slow-growth franchise.

VALUATION OUTPUT

Intrinsic Value / Share

₹900

Market Price **2,262**

Premium to Intrinsic Value :- **2.5x**

Stance: market price embeds significantly higher long-term growth than the model assumes.



India's largest pure-play FMCG company.

A 90-year-old subsidiary of Unilever PLC operating across four reportable segments, with a portfolio reaching nine out of ten Indian households every month.

SNAPSHOT · FY25

Revenue ₹63,121 Cr

EBITDA ₹14,843 Cr

Net Profit ₹9,349 Cr

EPS ₹39.79

Market Cap ₹5,30,221 Cr

HOME CARE

~36%

Fabric wash and household cleaning. Surf Excel, Rin, Wheel, Vim, Domex.

PERSONAL CARE

~15%

Skin cleansing, oral care. Close Up, Pepsodent, Axe.

BEAUTY & WELLBEING

~22%

Hair care, skin care, colour cosmetics. Sunsilk, Sunsilk, Dove, Lakmé, Pond's, TRESemmé. TRESemmé.

FOODS

~25%

Packaged foods, beverages, ice cream and nutrition.

BUSINESS MOAT

Distribution depth across 9M+ retail outlets, manufacturing footprint of 30+ owned plants, and a brand portfolio with #1 or #2 market share in over 90% of categories served.



Stable category, shifting channel mix.

FIVE FORCES RESHAPING FMCG

01 Premiumisation

Mid-income consumers up-trading in beauty, hair care and packaged foods supports realisation growth.

02 Rural Recovery

Volumes returning after two years of price-led growth; rural now growing in line with urban.

03 Quick Commerce Disruption

Blinkit, Instamart and Zepto reshaping urban replenishment; new SKU and pack-size economics emerging.

04 Digital Distribution

Direct-to-retailer apps unlock data, range and credit. HUL's Shikhar covers 1.3M+ outlets.

05 D2C Challengers

Mamaearth, The Good Glamm group and regional players raising competitive intensity in personal care.



50+ brands.

16 with revenue above ₹1,000 Cr.

HOME CARE

Surf Excel
Rin
Wheel
Vim
Domex

Fabric wash & household cleaning. ~36% of revenue.

BEAUTY & WELLBEING

Dove
Sunsilk
Lakmé
Pond's
TRESemmé

Premium hair, skin and colour cosmetics. ~22% of revenue.

PERSONAL CARE

Lux
Lifebuoy
Pears
Liril
Closeup

Skin cleansing & oral care. Mass-market scale.

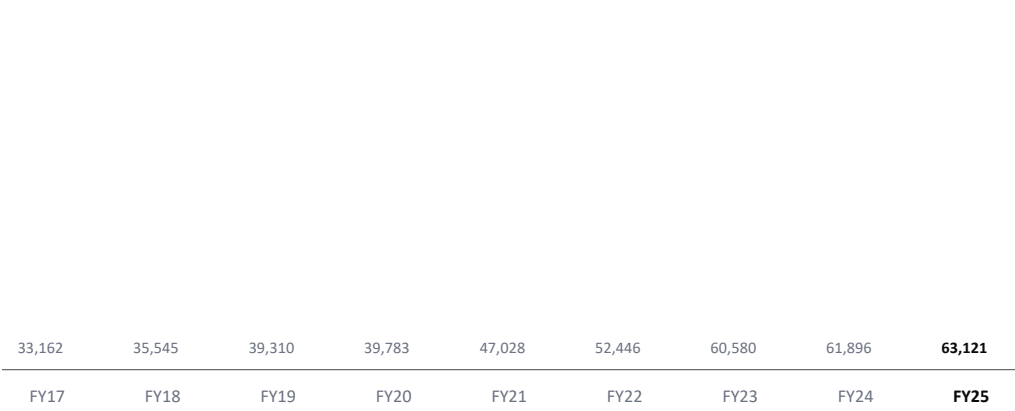
FOODS & REFRESHMENT

Horlicks
Boost
Brooke Bond
Bru
Knorr

Tea, coffee, nutrition & packaged foods.

Pricing-led growth gives way to volume normalisation.

REVENUE (₹ CR) — INDEXED BARS



Revenue compounded at a mean ~7.6% per annum over FY18–FY25, accelerating to a 15.5% peak in FY23 on peak in FY23 on price-led pass-through and decelerating to ~2% as input costs reverted.

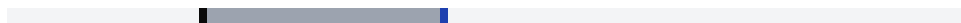
KEY METRICS — FY25 VS. FY17

EBITDA	14,843
₹ Cr	+135% vs. 6,328
EBIT	13,488
₹ Cr	+129% vs. 5,896
Net Profit	9,349
₹ Cr	+141% vs. 3,884
EPS	39.79
₹	+122% vs. 17.95

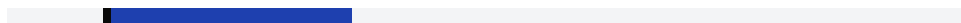
Structural margin profile, tested by input volatility.

MARGIN WALK · FY17 — FY25

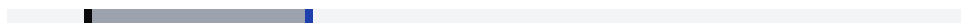
Gross Margin 43.7% → 45.3%



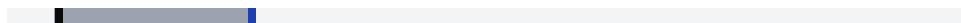
EBITDA Margin 19.1% → 23.5%



EBIT Margin 17.8% → 21.4%



Net Margin 11.7% → 14.8%



■ FY17 base ■ FY25 latest

% OF REVENUE

MARGIN DRIVERS

Premiumisation Mix

Higher-margin Beauty & Wellbeing portfolio expanding faster than overall revenue.

Pricing Power

Brand strength enables full pass-through of palm oil and crude inflation with ~12-month ~12-month lag.

Productivity Programmes

"Net Productivity" savings of ~3% of cost base reinvested in A&P and innovation.

Operating Leverage

Sub-2% depreciation intensity supports a wide spread between EBITDA and EBIT margins.



Returns well above cost of capital, recalibrated post the GSK merger.

ROIC · FY25

26.4%

Pre-merger ROIC averaged above 100% on a small invested-capital base. Post-FY21 base reflects goodwill and intangibles from the GSK CH integration.

REINVESTMENT RATE

31.8%

Capex plus working-capital additions consume roughly one-third of after-tax operating profit, leaving the balance for distribution and growth.

RETURN ON EQUITY · FY25

18.3%

Sustained payout ratio above 90% returns surplus cash to shareholders and keeps reinvestment focused on highest-return categories.

WHY ROIC STAYS HIGH

Negative cash conversion cycle (~-119 days), modest fixed-asset intensity and contract-manufacturing optionality keep invested capital low relative to the operating-profit pool.

ROIC FADE ASSUMED IN MODEL

Forecast normalises returns toward sector medians as competitive intensity rises and incremental incremental capex shifts toward modern-trade and quick-commerce capacity.



Strategy-driven assumptions, not historical extrapolation.

STEP	DRIVER	ANCHOR	TREATMENT
01	Revenue Growth Segment-led ramp toward 6% terminal	8 → 6%	Beauty premiumisation, q-commerce reach, rural recovery
02	EBITDA Margin Mix-led expansion as B&W scales	23.5% +	Premiumisation, productivity, operating leverage
03	Reinvestment Rate Held at FY25 base level	31.8%	Capex on capacity, modern-trade and digital infrastructure
04	Effective Tax Rate Statutory corporate rate	26.0%	Aligned to Indian corporate tax regime, post Section 115BAA
05	Terminal Growth Anchored to long-run nominal GDP	6.0%	Stable franchise; ROIC fades toward sector median

Note : Forecast assumptions are intentionally forward-looking and moderately bullish in nature, reflecting HUL's expanding quick-commerce integration, direct digital distribution strategy and exposure to a structurally underpenetrated emerging market expected to compound digital consumption over the long term.



Revenue scaling from ₹63K Cr to ₹94K Cr by FY30E.

REVENUE FORECAST — STEP BUILD

63,121	68,171	74,988	81,737	88,276	94,455
FY25A	FY26E	FY27E	FY28E	FY29E	FY30E

Growth Profile

+8% → +10% → +9% → +8% → +7%

5Y Forward CAGR

~8.4%

GROWTH BRIDGE — DRIVERS

Premium Beauty and Wellbeing

Quick-Commerce Expansion

Rural Volume Recovery

Home-Care Scale Gain

Market-Makers Category

Price Normalisation

The shelf is moving from store to screen.

QUICK COMMERCE STRATEGY

Tailored SKUs, smaller pack sizes and exclusive launches built for 10-minute baskets across Blinkit, Instamart and Zepto.

Q-commerce now contributes a low-double-digit share of urban modern-trade revenue and is growing well above category pace.

Premium Beauty & Wellbeing portfolio over-indexes here, supporting both topline and topline and gross-margin mix.

SHIKHAR — DIRECT RETAILER APP

1.3M+

Outlets onboarded

~25%

Of revenue digital

9M+

Total retail reach

+15%

Range-per-outlet uplift

Shikhar replaces wholesaler-led depth with direct data, credit and assortment. Material structural margin lever as adoption deepens.



Peer Beta frameworks implies A W13.22%.

PEER BETA COMPS

PEER	LEVERED	UNLEVERED
Hindustan Unilever	0.727	0.725
Nestlé India	0.820	0.819
Marico	0.661	0.658
Godrej Consumer	1.010	0.978
Dabur India	0.692	0.684
Emami	0.943	0.940
MEDIAN (USED)	0.773	0.772

Comp betas unlevered using each peer's marginal tax rate, then re-levered at HUL's target capital structure. Levered structure. Levered beta used in CAPM: 0.773

WACC BUILD

Risk-free rate (10Y G-Sec) **6.98%**

Equity risk premium **8.17%**

Levered beta **0.773**

Cost of Equity 13.30%

Pre-tax Cost of Debt **8.40%**

Marginal Tax Rate **23.833%**

Post-Tax Cost of Debt 6.40%

Equity Weight **98.85%**

Debt Weight **1.15%**

WACC **13.22%**



Five-year FCFF discounted to a ₹2.12 lakh crore equity value.

FCFF SCHEDULE (₹ CR)

YEAR	FY26	FY27	FY28	FY29	FY30
Revenue	68,171	74,988	81,737	88,276	94,455
EBIT	16,968	21,231	26,551	33,044	41,101
EBIT (1-T)	12,556	15,711	19,648	24,453	30,415
Less: Reinvestment	(3,997)	(5,001)	(6,254)	(7,784)	(9,682)
FCFF	8,559	10,710	13,394	16,669	20,733
PV of FCFF	8,044	8,890	9,820	10,794	11,858

Reinvestment held at FY25 base of 31.83%. Discounting via mid-year convention at WACC of 13.22%.

EQUITY VALUE BRIDGE (₹ CR)

PV of explicit FCFF **49,405**

PV of terminal value **1,64,230**

Enterprise Value 213,635

Add : Cash Equivalents **+304**

Less : Total Debt **(2,425)**

EQUITY VALUE **2,11,514**

÷ Shares (Cr) 234.95

Intrinsic value / share ₹900

Intrinsic value range: ₹741 to ₹1,439 per share.

HEATMAP · WACC VS. TERMINAL GROWTH

G \ WACC	11.0%	12.0%	13.22%	14.0%
5.0%	1,132	965	815	741
5.5%	1,216	1,023	855	773
6.0%	1,316	1,091	900	809
6.5%	1,439	1,171	952	850

Highlighted cell shows the base-case output: WACC 13.22%, terminal growth 6.0% → ₹900 per share.

READING THE RANGE

Bear scenario**₹741**

WACC 14% · g 5.0%

Base scenario**₹900**

WACC 13.22% · g 6.0%

Bull scenario**₹1,439**

WACC 11% · g 6.5%



Four risks materially shift intrinsic value.

R1 Commodity Inflation

Palm oil, crude derivatives and tea price spikes can compress gross margin 150–250 bps before pricing actions catch up. Lag of ~12 months on full pass-through.

R3 Growth Normalisation

3 FY24 and FY25 already show topline growth at ~2%. A slower volume recovery would recovery would push terminal growth toward the lower bound of the sensitivity range. sensitivity range.

R2 Competitive Intensity

D2C entrants and regional brands forcing higher A&P spend, especially in skin care, hair care and oral care. Risk of share loss in premium urban cohorts.

R4 Channel Economics

4 Q-commerce platforms charge higher take-rates than GT and may demand listing listing investments. Ramp of HUL's own digital channel is a partial offset.

Premium franchise, premium price.

INTRINSIC VALUE

₹900

Per share · Base DCF

MARKET PRICE

₹2,262

Spot reference

PREMIUM TO INTRINSIC VALUE

2.5x modeled intrinsic value

Market embeds higher long-term growth

HUL's brand depth, negative working capital cycle, and distribution scale justify a premium to intrinsic value — but the cash flow model finds no basis for the current market price without assuming growth and margin outcomes materially beyond this forecast. The model is deliberately anchored to long-run nominal GDP as the terminal rate, stable rather than expanding margins in perpetuity, and gradual ROIC compression toward sector levels. The 2.5x gap between market price and DCF value is not a mispricing signal, it reflects what the market is paying for: optionality on distribution digitization, premiumization runway in Beauty & Wellbeing, and a franchise that has historically sustained returns well above its cost of capital across cycles.